

CREDIT RISK RULES & DECISION RULEBOOK

Credit Underwriter AI | Enterprise Portfolio Knowledge Base

Document ID	CUAI-RR-001
Version	1.0
Classification	Internal Use Only
Effective Date	01 August 2026
Owner	Credit Risk & Decision Science
Review Cycle	Annual or on material change

1. Purpose

Provide explicit, machine-readable-style rules for the Credit Risk, Policy Compliance and Loan Decision agents and make the rule logic transparent to the RAG Copilot.

2. Scope

This fictional internal policy is designed for the Credit Underwriter AI portfolio project. It supports automated underwriting, human review, auditability and policy-aware AI explanations. It is not a policy of any real financial institution.

3. Risk Rule Catalogue

Rule ID	Condition	Severity	Action
RR-001	Risk score ≥ 60	High	Manual underwriting
RR-002	Risk score 30–59	Medium	Enhanced review
RR-003	DTI/FOIR >50%	High	Manual review unless approved exception
RR-004	DTI/FOIR >40% and $\leq 50\%$	Medium	Enhanced review
RR-005	Material income mismatch	High	Manual review
RR-006	Critical document missing	High	Do not auto-approve
RR-007	Unresolved KYC issue	High	Compliance/manual review
RR-008	High fraud score	Critical	Fraud investigation/hold
RR-009	Policy violation	Critical	Reject/hold per authority
RR-010	Model unavailable	Operational	Manual/fallback underwriting
RR-011	Conflicting critical evidence	High	Manual verification
RR-012	Approval authority exceeded	High	Escalate to authorized level

4. Rule Precedence

- Regulatory/compliance hard stops take precedence over internal risk recommendations.
- Fraud/compliance hard stops take precedence over automated approval.
- Deterministic policy rules take precedence over LLM-generated suggestions.
- Model risk is a decision-support signal and cannot override a hard-stop rule.
- Human-approved exceptions must remain explicitly recorded and bounded.

5. Composite Risk Interpretation

- Do not rely on a single score. Consider credit risk, affordability, fraud, KYC, document quality and policy compliance together.
- Medium credit risk plus a policy warning may route to Manual Review even when fraud risk is low.
- Low fraud risk does not neutralize a credit or compliance failure.
- Missing evidence increases uncertainty and should generally reduce automation eligibility.

6. Rule Evaluation Output

- rule_id
- triggered
- severity
- evidence_reference
- message
- recommended_action
- policy_version
- timestamp

7. Change Management

- Every rule change receives a new version.
- Old decisions remain linked to the rule version used at decision time.
- Changes should be tested against representative scenarios before activation.
- Material rule changes require governance approval.

Document Control

Version	Date	Change
1.0	01 August 2026	Initial enterprise-style portfolio knowledge-base document

Important Disclaimer

All numeric thresholds, approval limits, scoring bands and operating procedures in these internal documents are illustrative project controls. They must not be presented as universal regulatory requirements. Regulatory content is maintained separately in the RBI Guidelines document and should be refreshed from authoritative RBI sources before any real-world use.